

**FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges**

TOYOTA DE PUERTO RICO, CORP.
Complainant

Docket No. 19-02

v.

PUERTO RICO PORTS AUTHORITY;
CROWLEY PUERTO RICO SERVICES;
AND OCEANIC GENERAL AGENCY INC.
Respondents

**TOYOTA DE PUERTO RICO, CORP.'S
STATEMENT OF MATERIAL FACTS**

TO THE HONORABLE ERIN M. WIRTH, Administrative Law Judge:

Pursuant to Rule 70 of the Rules of Practice and Procedure, Complainant, Toyota de Puerto Rico Corp., (herein after “Toyota”), by and through the undersigned attorneys, respectfully submits this *Statement of Material Facts*.

	Fact	Source
1.	Puerto Rico Ports Authority (“PRPA”) is a “public corporation” with a “legal existence and personality separate and apart from those of the Government and any officials thereof.”	See, P.R. Laws Ann. tit. 23, § 333(a)-(b), Toyota's Appendix 001.
2.	PRPA is a financially independent entity, with funds primarily derived from its operations.	See, Transcript of Deposition of Luis De Jesús-Clemente, p. 30, l. 4-9, p. 31, l. 7-18; p. 58, l. 11-19. Toyota's Appendix 004-006.
3.	PRPA pays its debts with funds that come from its own operations.	See, Transcript of Deposition of Luis De Jesús-Clemente, p. 58, l. 11-17. Toyota's Appendix 006.

4.	PRPA, does not receive legislative allotments. As a public corporation, it has no participation in the general fund. PRPA and not the central government, is responsible for its own liabilities.	See, Transcript of Deposition of Luis De Jesús-Clemente, p. 60, l. 6-16. Toyota's Appendix 007.
5.	PRPA “is not the government instrumentality with the proper legal jurisdiction and authority to intervene as of right in [the inspection of cargo containers]”.	Memorandum of Understanding, February 16, 2011, p. 1, Toyota's Appendix 008.
6.	Instead, the Legislature has specifically authorized the Secretary of the Treasury Department of the Government of Puerto Rico to inspect such cargo containers when they arrive in Puerto Rico, as one of its powers in furtherance of its goal to collect taxes.	Memorandum of Understanding, February 16, 2011, pp. 1-2, Toyota's Appendix 008-009.
7.	PRPA has consented to allow the Treasury Department to place its employees or authorized agents at the locations in the Port of San Juan where it has engaged a private party to conduct non-intrusive cargo scanning to assist the Secretary of the Treasury in its taxing responsibilities.	Memorandum of Understanding, February 16, 2011, pp. 2-4, Toyota's Appendix 009-011.
8.	Regulation 8067 sought “to accommodate the interest of the Department of the Treasury to inspect up to 100% of all Inbound Cargo Containers, in order to identify unreported taxable goods, by a non-intrusive scanning (imaging) system that preserves a free and efficient flow of commercial traffic at the ports.”	Regulation 8067, Art. II, Pr. Regs. 8067, Toyota's Appendix 018-019.
9.	The inspections are the responsibility of the Treasury Department personnel in the facilities.	Regulation 8067, Art. IV, C, Pr. Regs. 8067, Toyota's Appendix 020.
10.	PRPA was tasked with implementing the fast-track inspection method to accommodate the Treasury Department tax fiscalization and collection goals while preserving the free flow of commerce.	Regulation 8067, Art. I, G, Toyota's Appendix 018.
11.	Regulation 8067 created the enhanced security scanning fee to recover the costs incurred by PRPA in implementing the non-intrusive scanning process.	Regulation 8067, Art. III, Sec. 7, Art. IV, J. Pr. Regs. 8067, Toyota's Appendix 019, 021.
12.	The funds from which the scanning program is paid come from the scanning fee.	See, Transcript of Deposition of Luis De Jesús-Clemente, p. 31, l. 23-25. Toyota's Appendix 005.
13.	PRPA, not the Treasury, is responsible for establishing and enforcing this fee.	Memorandum of Understanding, Term and Condition No. 5, p. 5, Toyota's Appendix 012.

WHEREFORE, Complainant respectfully submits *this Statement Material Facts*.

RESPECTFULLY SUBMITTED.

In San Juan, Puerto Rico, December 16, 2020.

REICHARD & ESCALERA, LLC
255 Ponce de León Avenue
MCS Plaza, 10th Floor
San Juan, PR 00917-1913
Telephone: (787) 777-8888

s/RAFAEL ESCALERA RODRIGUEZ
Puerto Rico Bar No. 5,310
U.S.D.C. NO. 122609
E-mail: escalera@reichardescalera.com

s/SYLVIA M. ARIZMENDI
Puerto Rico Bar No. 10,337
U.S.D.C. NO. 210714
E-mail: arizmendis@reichardescalera.com

s/ALANA M. VIZCARRONDO SANTANA
Puerto Rico Bar No.18,840
U.S.D.C. NO. 301614
E-mail: vizcarrondo@reichardescalera.com